IHS Lectures: Economics

Lecture 4:

The Indian Economy -

Achievements and Challenges

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The Indian Economy at the time of Independence

Key Features

•At independence, India was a poor country with little investable resources or infrastructure for rapid growth

•It was a territory with exceptional heterogeneity in terms of various identities (language, caste, religion, ethnicity ..)

•Most economic and social indicators were at extremely low level

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Key Indicators (around 1947)

Per capita GDP: $820 (2011 US dollars at PPP)

Poverty rate: ~70%

Life expectancy: 32 years

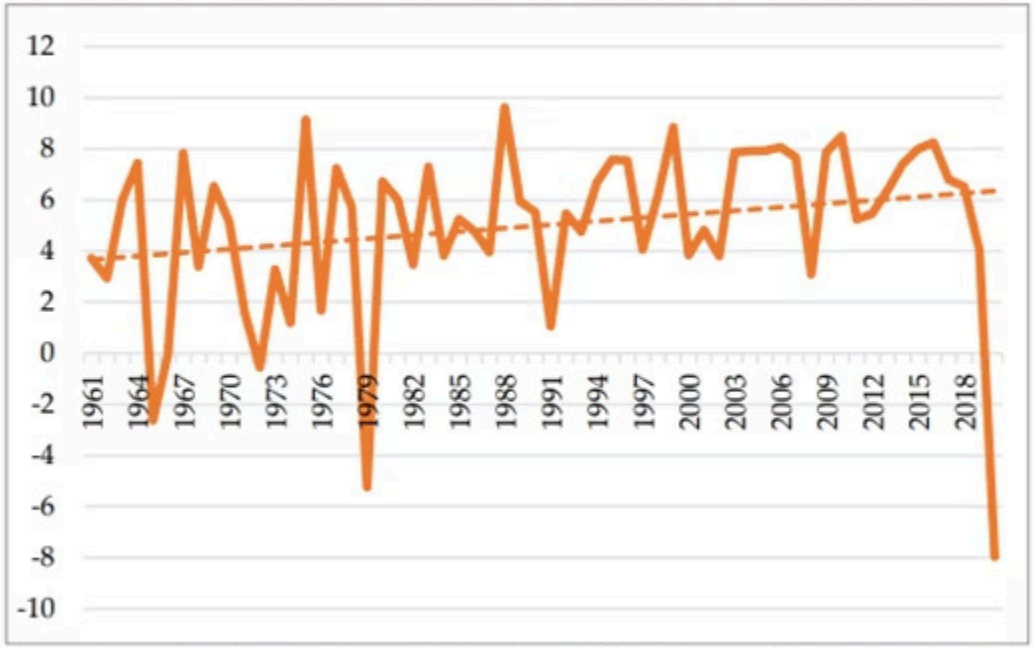
Child mortality: 30%

Large proportion of employment in agriculture: >70%

Key Achievements
in the Past Seven to Eight Decades

One of the few developing countries which has maintained a moderate growth rate throughout its post-independent history

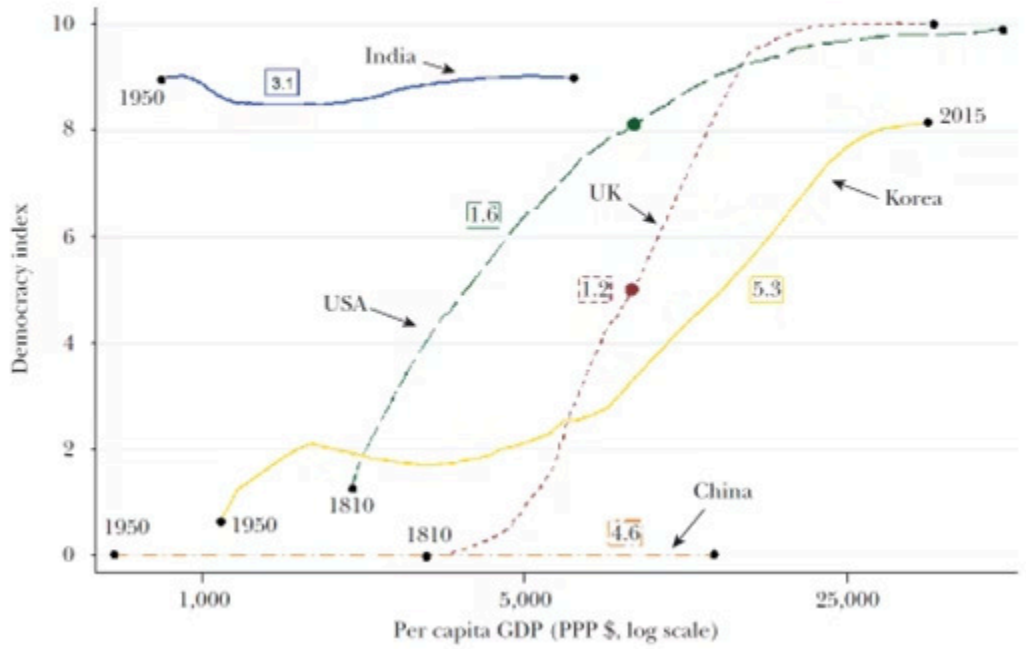
Figure 2: Economic Growth Rates in India, 1960–2020 (GDP growth (annual %))



Source: Compiled from the World Bank's World Development Indicators (online).

Figure 2

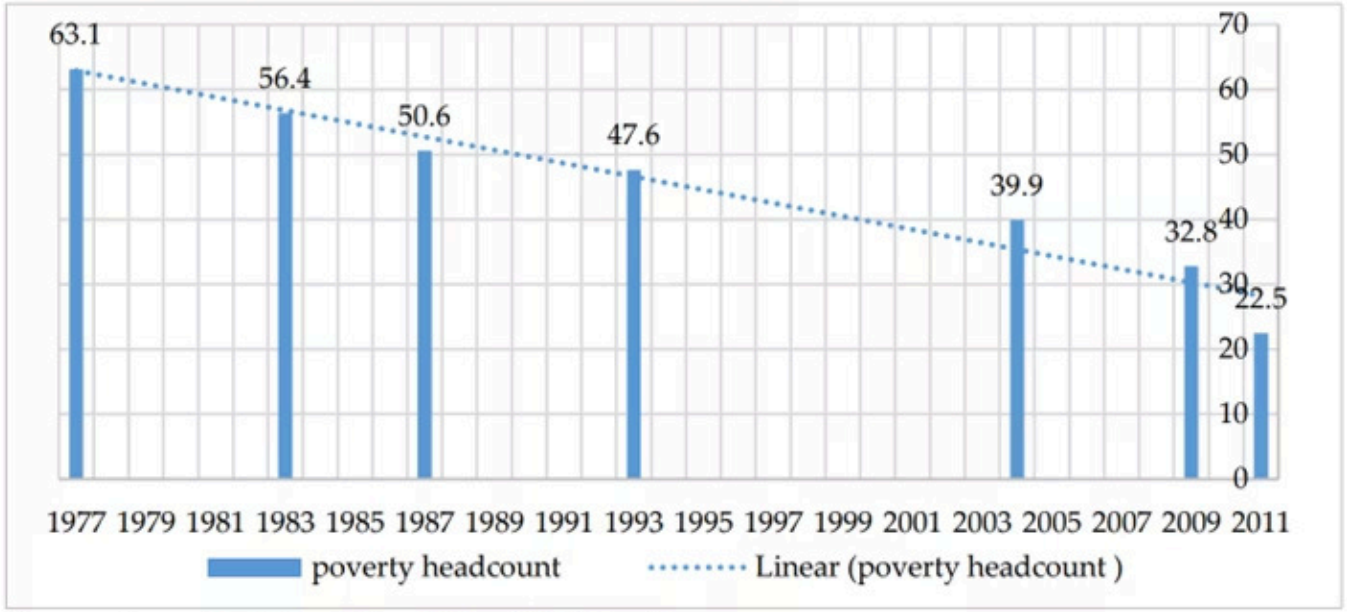
Patterns of Sequencing of Economic and Political Development



Growth with Democracy

Significant Reduction in Poverty Rates (although estimations are debated)

Figure 4: Trends in Poverty Headcount Ratio in India



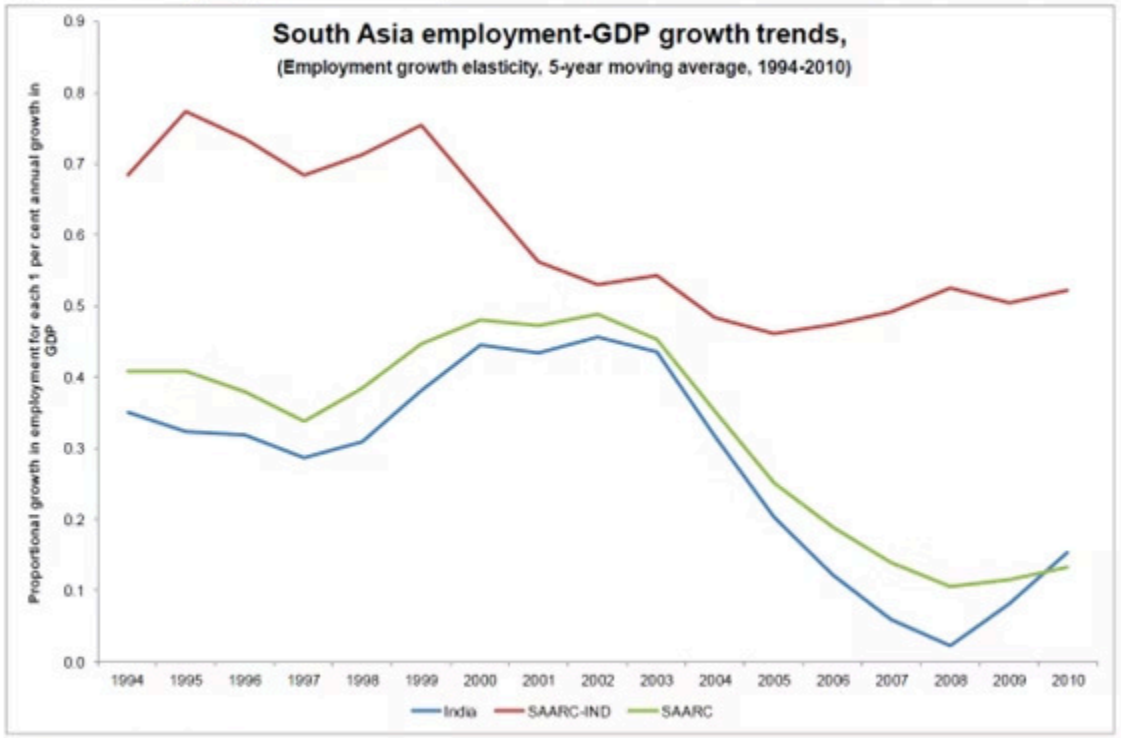
Source: Compiled from World Bank WDI online.

Improvements in Various Other Indices of Social Development

- Child Mortality has declined from 30 percent to 5 percent
- Life expectancy has increased from 32 years to nearly 71 years
- Primary School Completion rate has increased from 40 percent in 1971 to 100 percent today
- Adult Literacy rate has increased from 40 percent in 1981 to 75 percent in 2011
- Proportion of population with access to Electricity has increased to almost 97 percent in recent years

Remaining Challenges

Figure 16: Employment Elasticity of Economic Growth in India and South Asia



Source: UNESCAP-SSWA (2018).

Jobless Growth - Low and Declining Employment Elasticity of Economic Growth

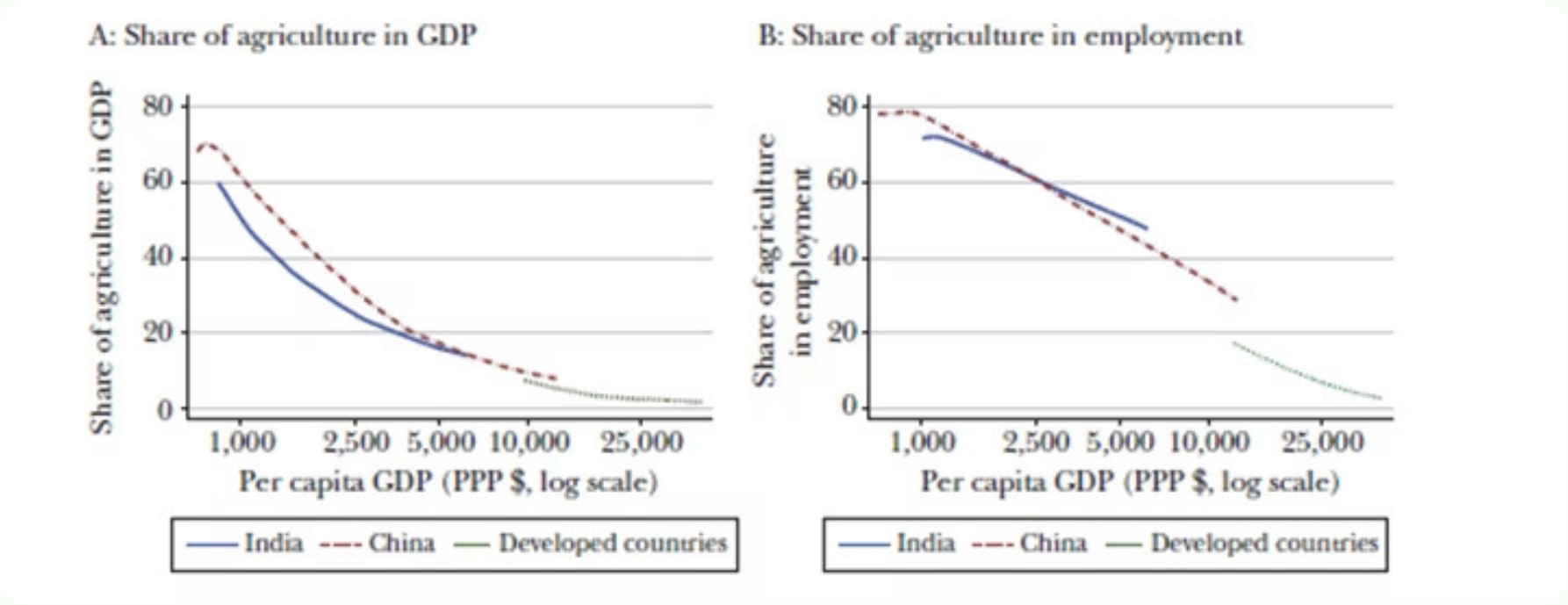
High Rates of Unemployment among the Educated Youth

Unemployment is concentrated among educated youth

	Less than 25 years	25–29 years	30–34 years	35–39years	40 years and above
Graduate & above	42.3	22.8	9.8	4.5	1.6
Higher secondary	21.4	10.6	5.0	3.1	2.1
Secondary	18.1	7.5	4.6	2.4	1.7
Primary or middle	15.0	5.4	3.0	2.4	2.2
Literate but below primary	10.6	3.3	1.5	2.4	2.2
Illiterate	13.5	4.3	4.0	3.4	2.4

Sources and notes: PLFS 2021-22. This is Figure 2.3 in the report.

Incomplete Structural Transformation



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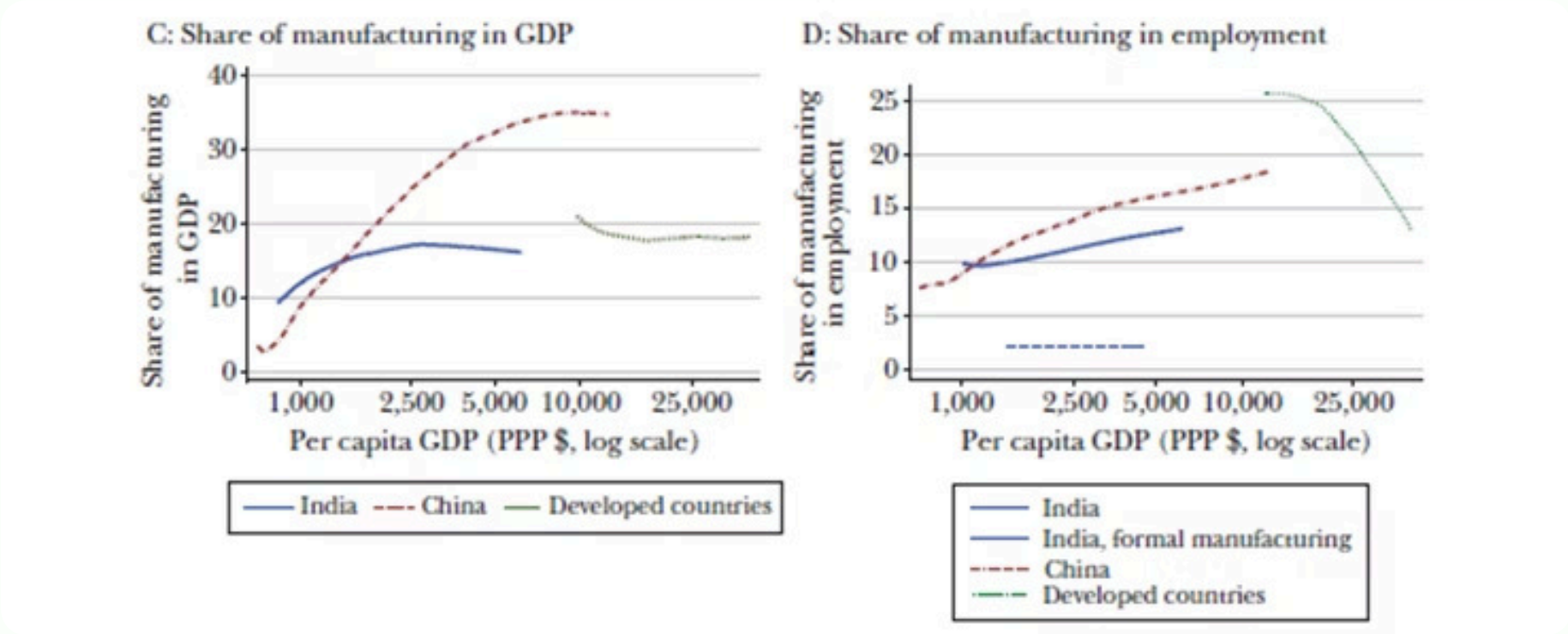

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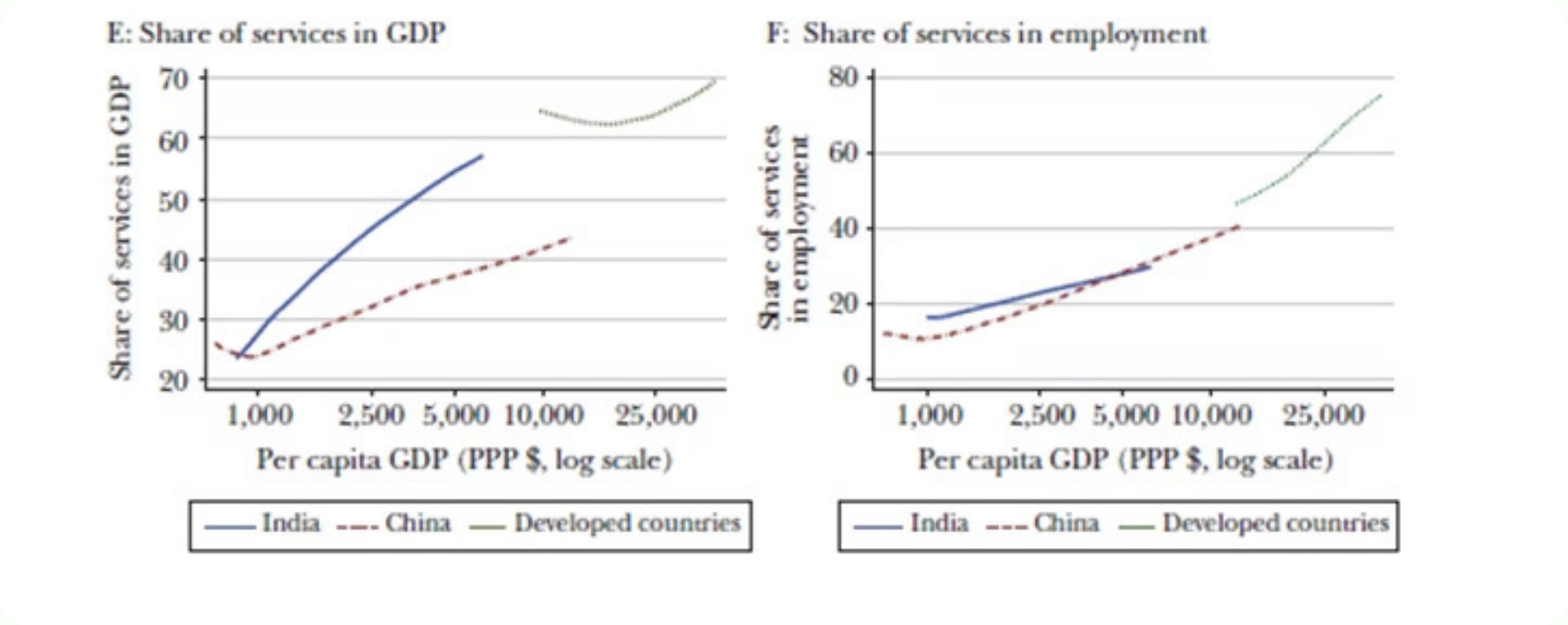

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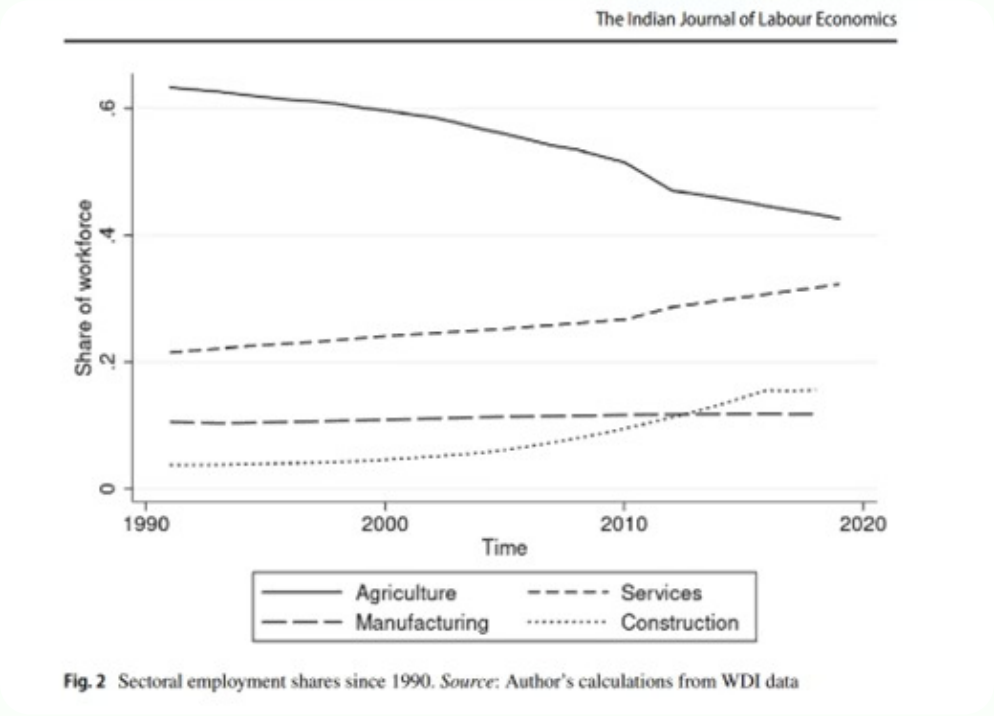
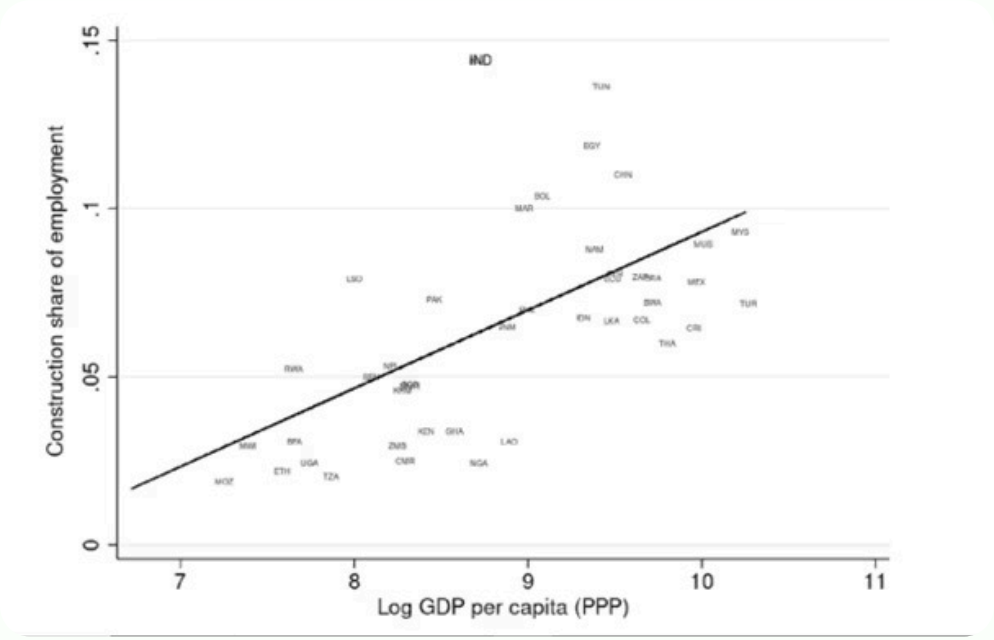
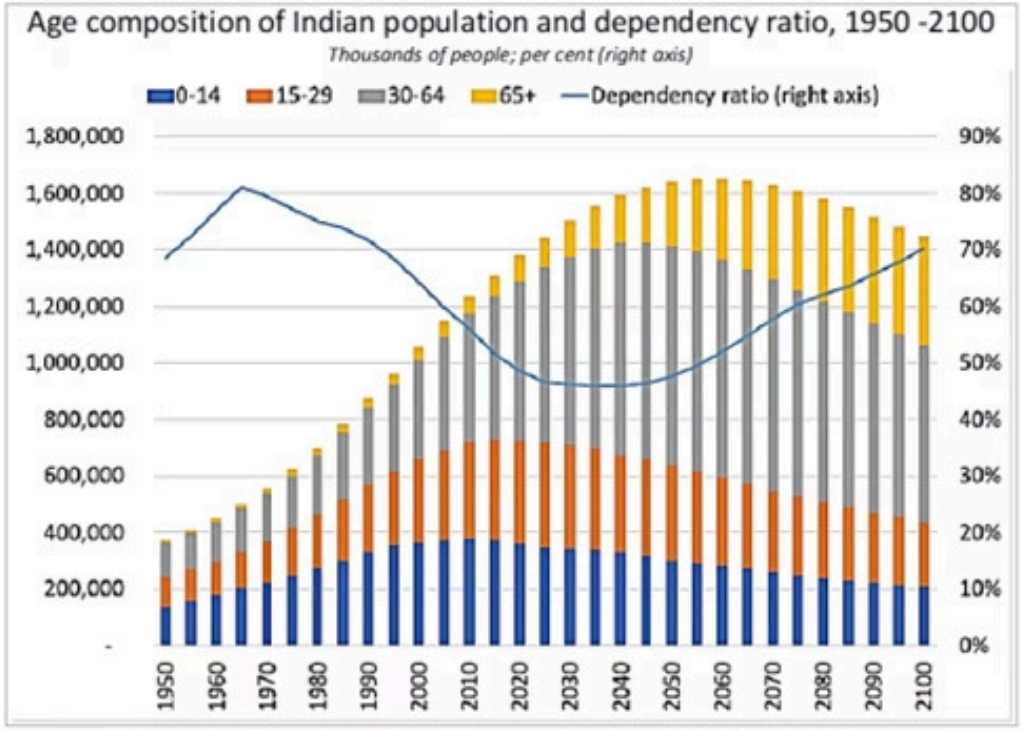


Fig. 2 Sectoral employment shares since 1990. *Source*: Author's calculations from WDI data



Missing the Demographic Dividend Window?

Figure 21: Demographic Transition of India

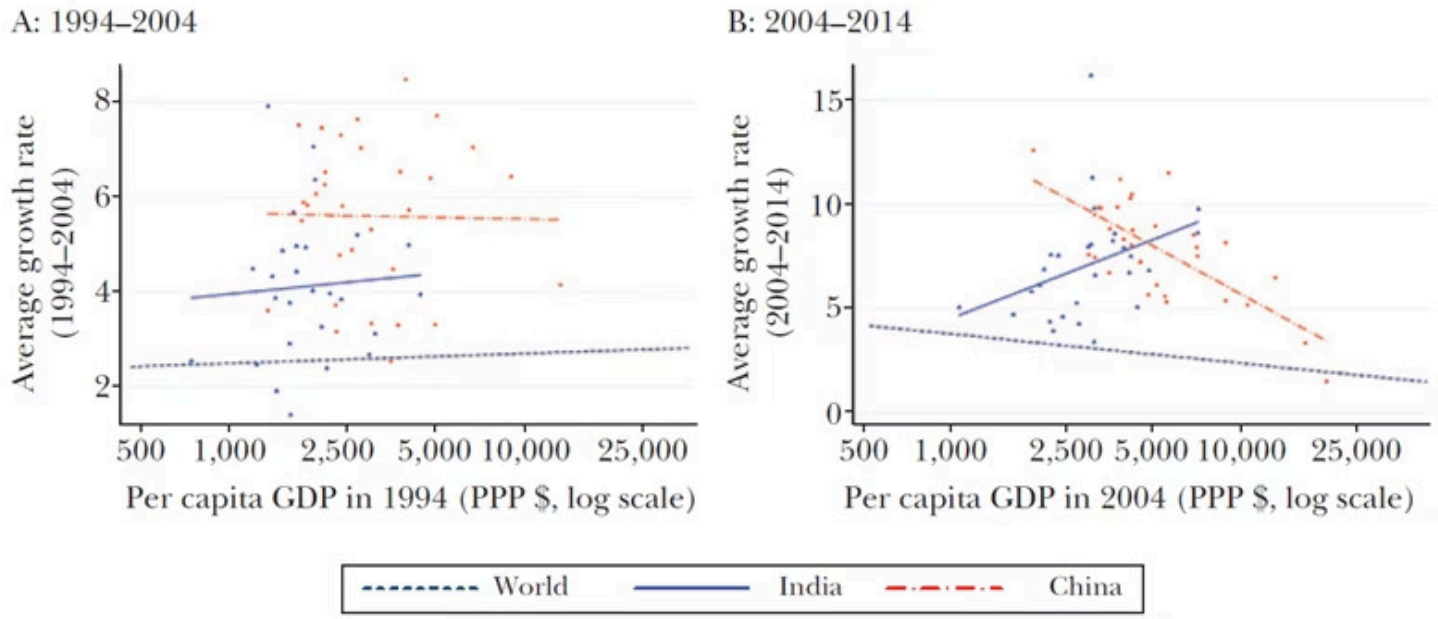


Source: UNCT-India Calculations based on UN_DESA (2019).

Regional Disparities

Figure 4

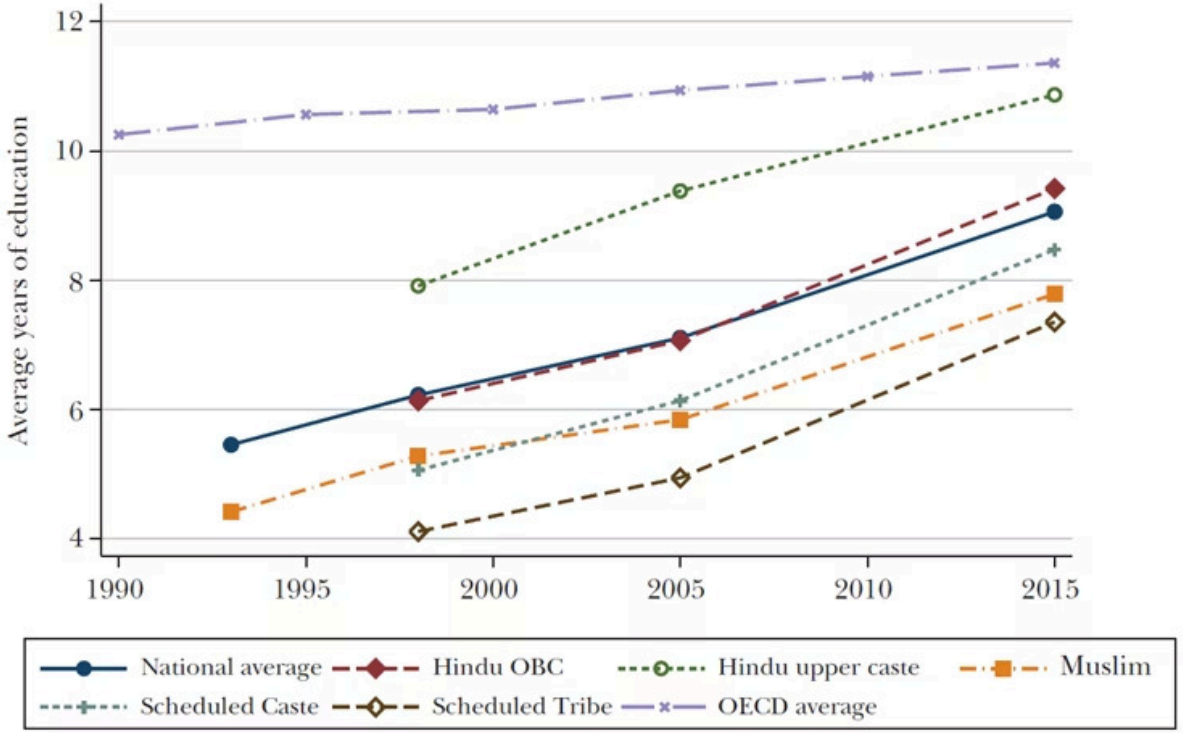
Income Convergence/Divergence: India, China, and the World



Social Inequalities

Figure 5

Educational Attainment of Age Group 15–29 across Social and Religious Groups, 1992–2015



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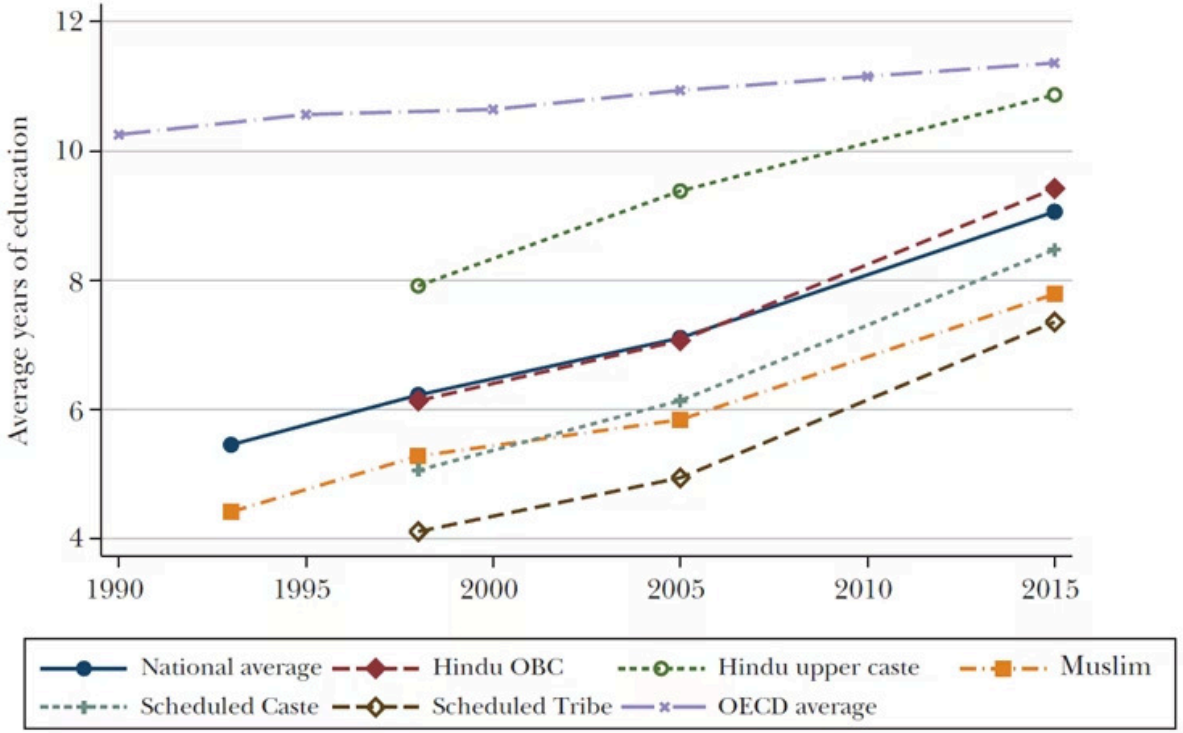
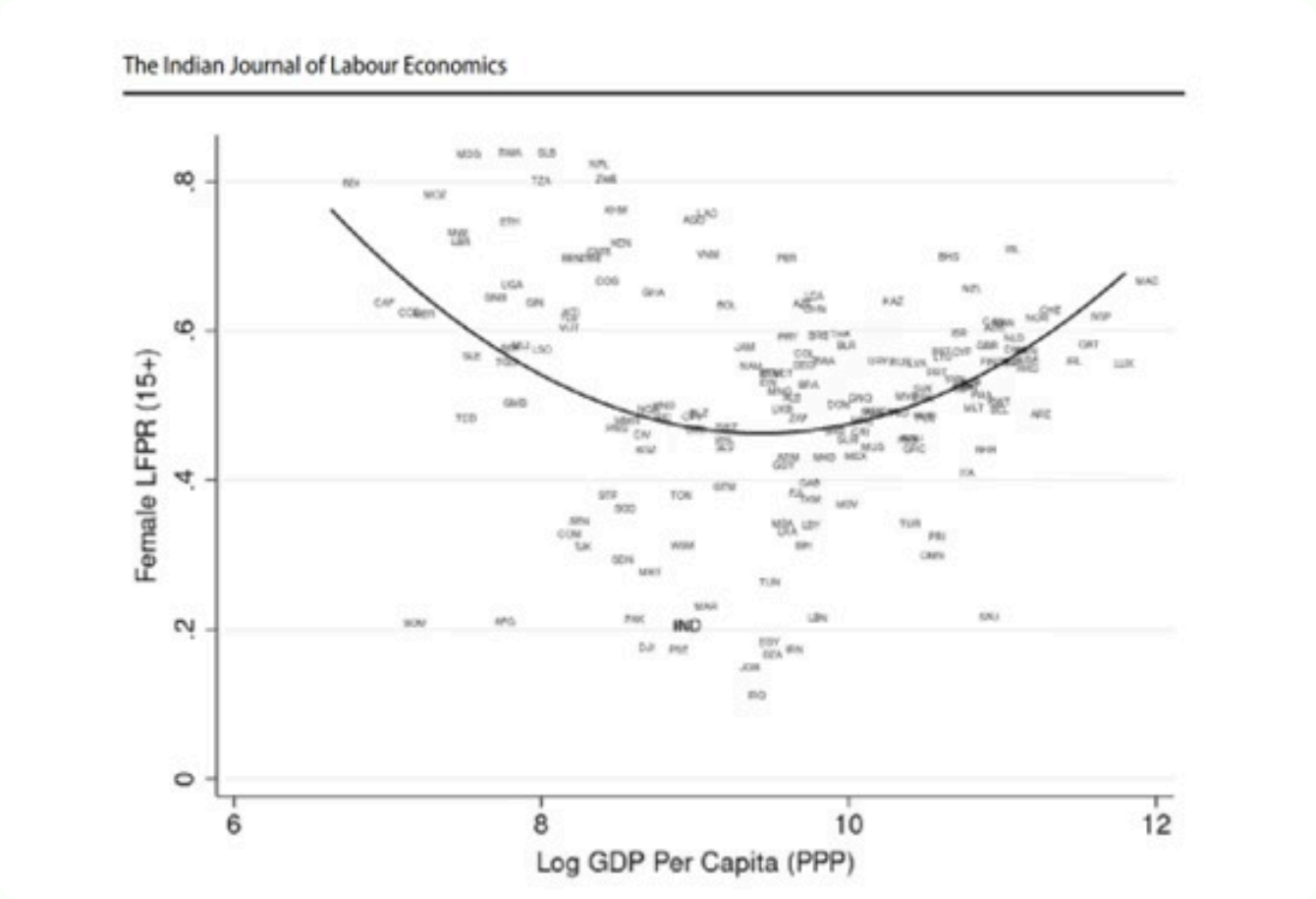


Social Inequalities



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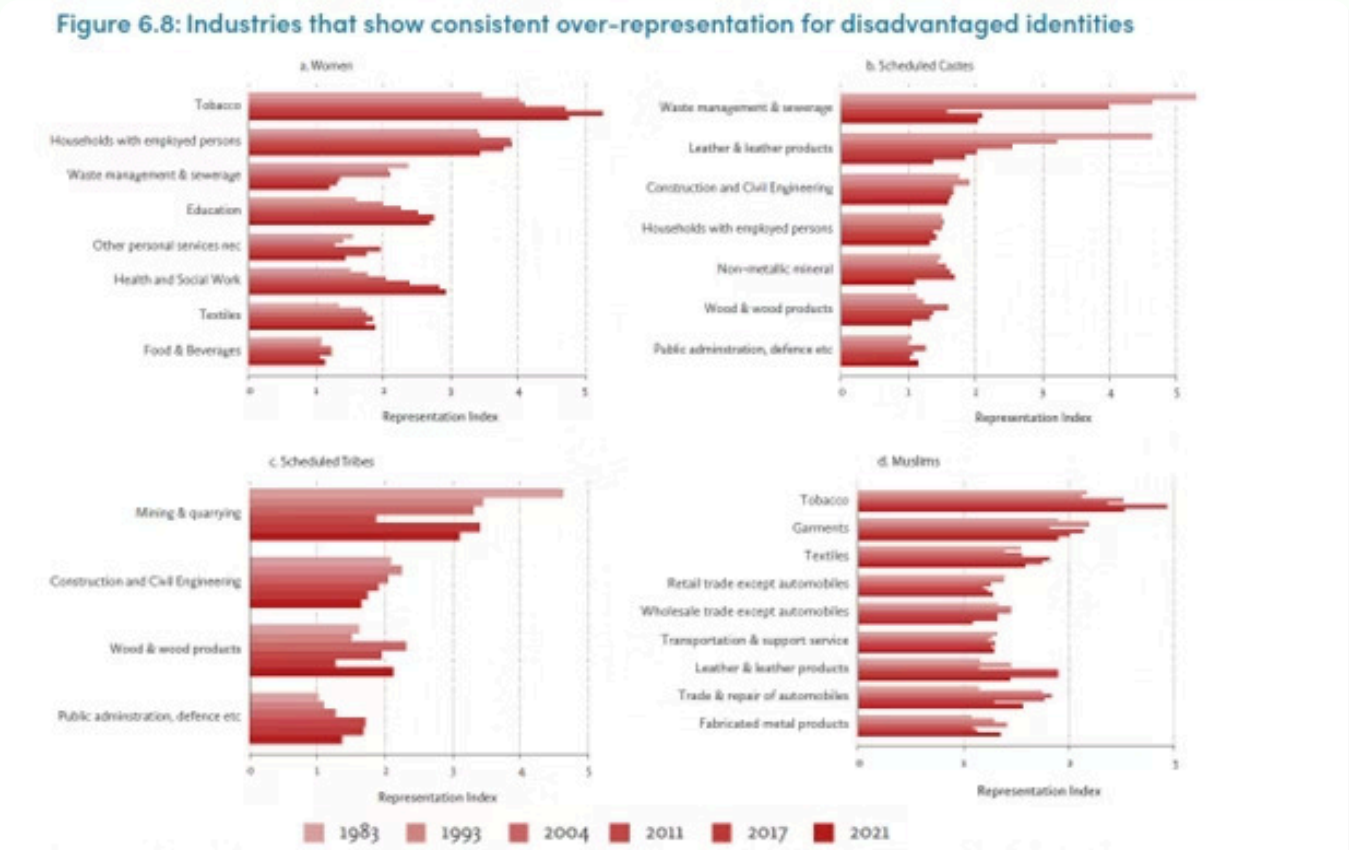
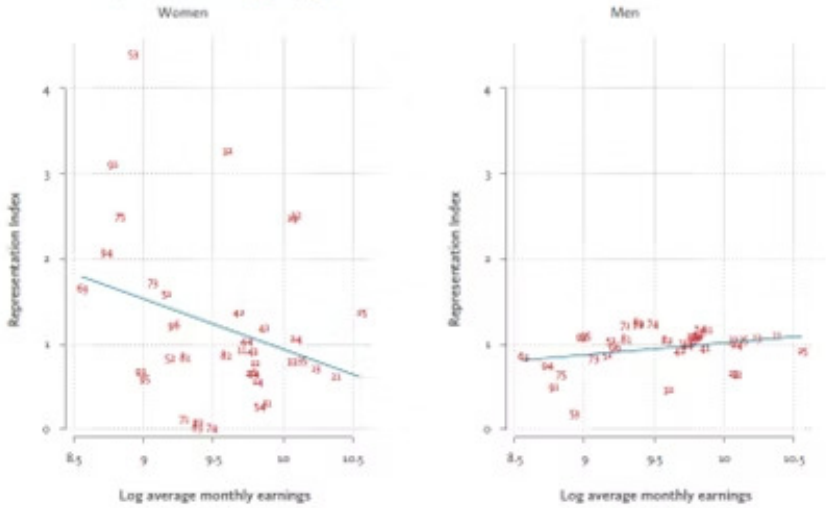


Social Inequalities

Figure 6.9: Women are over-represented in low paying occupations while men are over-represented in high paying ones



Sources and notes: PLFS 2021-22. See Results Appendix for occupation names corresponding to the codes. The X-axis shows log earnings. Actual earnings range between ₹3000 and ₹36000 per month.

Social Inequalities

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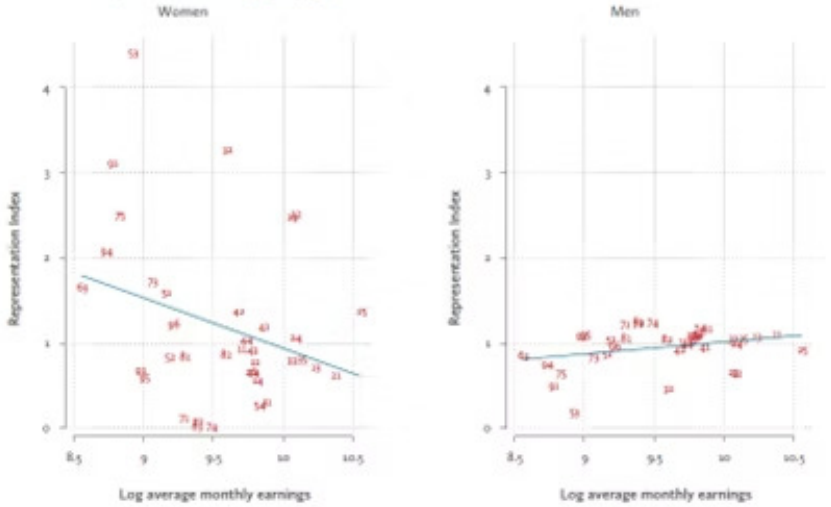
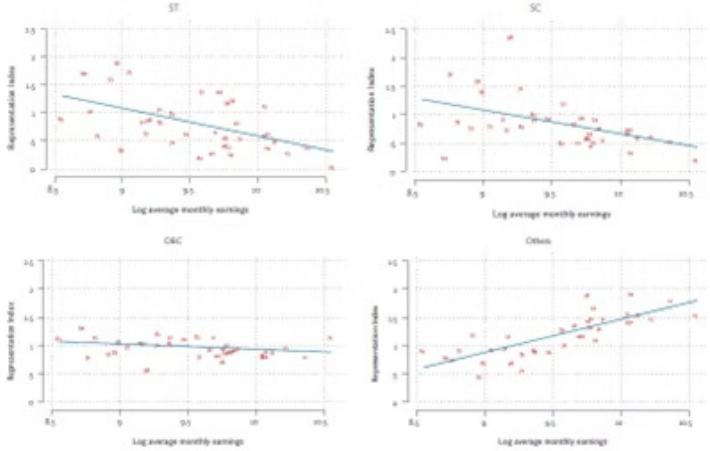


Sources and notes: PLFS 2021-22. See Results Appendix for occupation names corresponding to the codes. The X-axis shows log earnings. Actual earnings range between ₹3000 and ₹36000 per month.

Figure 6.11: Marginalised caste groups are over-represented in low paying occupations while dominant caste groups are over-represented in high paying ones



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